

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 22-33

CCMA, LLC

VS.

MEDITERRANEAN SHIPPING COMPANY S.A. and
MSC MEDITERRANEAN SHIPPING COMPANY (USA)
INC. As agent for Mediterranean Shipping Company S.A.

ANSWER TO COMPLAINT

Respondents, MEDITERRANEAN SHIPPING COMPANY S.A. (“MSC S.A.”) and MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC. (“MSC USA”) (collectively “Respondents”) through its undersigned counsel, answers Complainant CCMA, LLC’s (“CCMA LLC” or “Complainant”) Verified Complaint (“Complaint”), upon information and belief, as follows:

COMPLAINANT

1. Deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 1 of CCMA, LLC’s Complaint.

RESPONDENT

2. Admit that MSC S.A. is a global container shipping company founded in 1970 and headquartered at Chemin Rieu 12-14, CH-1208 Geneva, Switzerland and is an ocean common carrier conducting business in the United States through its agent MSC (USA) Inc. that has an office is located at 420 5th Avenue, 8th Floor, New York, NY 10018. Respondents further admit

that it provides container ocean transportation of cargo to and from the United States. Respondents deny knowledge and information sufficient to form a belief as to the remaining factual allegations contained in paragraph 2 of CCMA complaint as the “common carrier subsidiaries and affiliated companies” allegedly “providing container ocean transportation of cargo to and from the United States” are not identified. The allegation in paragraph 2 of CCMA LLC’ Complaint that “MSC is and was at all times pertinent to this Complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal maritime Commission” calls for a conclusion of law requiring no response. Respondent defers all question of law to the Commission for determination.

JURISDICTION

3. Deny the allegations contained in paragraph 3 of CCMA, LLC’s Complaint.
4. Deny the allegations contained in paragraph 4 of CCMA, LLC’s Complaint and defers all questions of law to the Commission for determination.
5. Deny the allegations contained in paragraph 5 of CCMA, LLC’s Complaint and defers all questions of law to the Commission for determination.
6. Deny the allegations contained in paragraph 6 of CCMA, LLC’s Complaint and defers all questions of law to the Commission for determination.

FACTUAL ALLEGATIONS

7. Paragraph 7 of CCMA LLC’s Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 7 of CCMA LLC’s Complaint.
8. Admit the allegations contained in paragraph 8 of CCMA, LLC’s Complaint.

A. Customs Hold and Examination

9. Paragraph 9 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 9 of CCMA LLC's Complaint.

10. Paragraph 10 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 10 of CCMA LLC's Complaint.

11. Paragraph 11 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 11 of CCMA LLC's Complaint.

12. Paragraph 12 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 12 of CCMA LLC's Complaint.

13. Paragraph 13 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 13 of CCMA LLC's Complaint.

14. Paragraph 14 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required,

Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 14 of CCMA LLC's Complaint.

15. Paragraph 15 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 15 of CCMA LLC's Complaint.

16. Paragraph 16 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 16 of CCMA LLC's Complaint.

17. Paragraph 17 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 17 of CCMA LLC's Complaint.

18. Admit the allegations contained in paragraph 18 of CCMA, LLC's Complaint.

B. Demurrage

19. Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 19 of CCMA LLC's Complaint.

20. Respondents deny the allegations contained in paragraph 20 of CCMA LLC's Complaint.

21. Paragraph 21 of CCMA LLC's Complaint does not contain factual allegations against Respondents and, therefore, does not require an answer. To the extent an answer is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 21 of CCMA LLC's Complaint.

22. Respondents deny the allegations contained in paragraph 22 of CCMA LLC's Complaint.

V. VIOLATION OF THE SHIPPING ACT

23. The allegations contain in paragraph 23 of CCMA LLC's Complaint do not require a response; the statute speaks for itself.

24. Deny the allegations contained in paragraph 24 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

25. Deny the allegations contained in paragraph 25 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

26. Deny the allegations contained in paragraph 26 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

27. Deny the allegations contained in paragraph 27 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

28. Deny the allegations contained in paragraph 28 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

VI. CAUSATION AND INJURY TO THE COMPLAINANT

29. Deny the allegations contained in paragraph 29 of CCMA LLC's Complaint and defers all questions of law to the Commission for determination.

VII. ALTERNATIVE DISPUTE RESOLUTION

30. Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 30 of CCMA LLC's Complaint.

AS AND FOR AFFIRMATIVE DEFENSES TO THE CLAIMS SET FORTH IN THE COMPLAINT, RESPONDENT MSC USA ALLEGES UPON INFORMATION AND BELIEF AS FOLLOWS

1. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint.

2. The Federal Maritime Commission lacks personal jurisdiction over Respondent MSC USA.
3. The Complaint fails to allege essential elements of a claim as provided under 46 CFR 502.62 (a)(3)(iii).
4. The Complaint fails to state a claim against Respondents on which relief may be granted.
5. MSC USA is an agent for a disclosed principal and Claimant is and was aware of that agent/principal relation.
6. MSC USA is not an ocean common carrier, marine terminal operator, or ocean transportation intermediary subject to 46 U.S.C. § 41102.
7. Any inability or delay to deliver the containers to the Complainant was due in whole or in part to the acts and/or omissions of the Complainant, its agents, the cargo interest(s) and/or in any event to circumstances or third parties outside the control of the Respondents.
8. Respondents had no control over the containers while in the custody of CBP as a consequence of the CBP imposed agriculture hold and related examination.
9. The allegations in the Complaint lack a meritorious factual basis.
10. Respondents' conduct was reasonable considering the totality of the circumstances.
11. Any alleged damages sustained by the Complainant were proximately, directly, and solely caused by the acts of third persons over whom the Respondents had and has no direction or control.
12. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant has failed to mitigate its damages.

RESERVATION OF RIGHTS TO AMEND AND TO RAISE A COUNTERCLAIM

Respondent reserves its right to amend this Answer and to plead any additional affirmative defenses.

Respondents reserve all rights to bring a counterclaim against CCMA LLC for any of the outstanding charges owed by CCMA LLC to MSC S.A. before the Federal Maritime Commission or any Court of competent jurisdiction.

WHEREFORE, Respondents pray that after due oral hearing to be conducted in Washington, D.C., or by video conference, an order be made dismissing the Complaint.

Respectfully submitted,

/s/Wook Chung

/s/Kaspar Kielland _____

Wook Chung

Kaspar Kielland

Montgomery McCracken Walker & Rhoads LLP

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New York, New York 10022

(212) 201-1931 / (212) 867-9500

Dated: January 6, 2023

VERIFICATION OF RESPONDENTS
MEDITERRANEAN SHIPPING COMPANY S.A.
and
MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC.

Nicholas Hargreaves hereby verifies as follows:

1. I am Internal Counsel of MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC.
(“MSC USA”)
2. MSC USA is the agent for MEDITERRANEAN SHIPPING COMPANY S.A. (“MSC S.A.”)
3. I am authorized to make this verification on behalf of both MSC S.A. and MSC USA.
4. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
5. I verify under penalty of perjury that the foregoing is true and correct.

Dated: January 6, 2023



Name: Nicholas Hargreaves
Title: Internal Counsel for MSC USA Inc.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 6th day of January 2023, the foregoing Answer to Complaint was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
CCMA, LLC
C/O GKG LAW, P.C.
David K. Monroe, Esq.
dmonroe@gkglaw.com
John H. Kester, Esq.
jkester@gkglaw.com

/s/Kaspar Kielland_____